

Food Delivery App

Business Review

September 2024

Executive Summary

20K	56	\$687K
Orders Placed	Delivery Regions	Net Revenue

Business Units

Restaurants	Drivers	Customers
<i>Goal: Ensure smooth and efficient delivery lifecycle, promote visibility and reach for patron restaurants</i>	<i>Goal: Ensure efficient deliveries with process improvements and ensure driver supply meets demands</i>	<i>Goal: Ensure timely and efficient order fulfilment, inspiring loyalty and reaching new customers</i>
67 active* restaurants	9.4K active drivers	13.4K active customers
\$703K total order value	\$74K earned tips	\$11.7K discounts redeemed

*Active implies transacted atleast once through the app in September 2024

1. Delay Analysis

- **98%** of all orders placed were on-demand (vs. scheduled)
- **269** refunds were issued, of which **13** were due to deliveries taking **over an hour** to be fulfilled

Overall average delay for September: **28 mins**



1

Order Placed by
Customer

2

Order placed at
restaurant

Avg delay:
0 mins

3

Delivery driver
arrives at
restaurant

Avg delay:
12.5 mins

4

Driver delivers
order to customer

Avg delay:
16 mins

Call Out: Scranton

- Delays and refunds for RID 690495 in Scranton.
- 37 of 3108 orders placed took > 1 min to register at restaurant.
- Total of \$839 lost in refunds due to delays and operational inefficiency, the highest among all regions.

Next Steps

1. **Identify** restaurants with prep times exceeding the regional average.
2. **Improve** system latency and ensure orders are registered immediately
3. **Organize** training sessions with restaurants that have higher than average order fulfilment times.

2. Driver Health

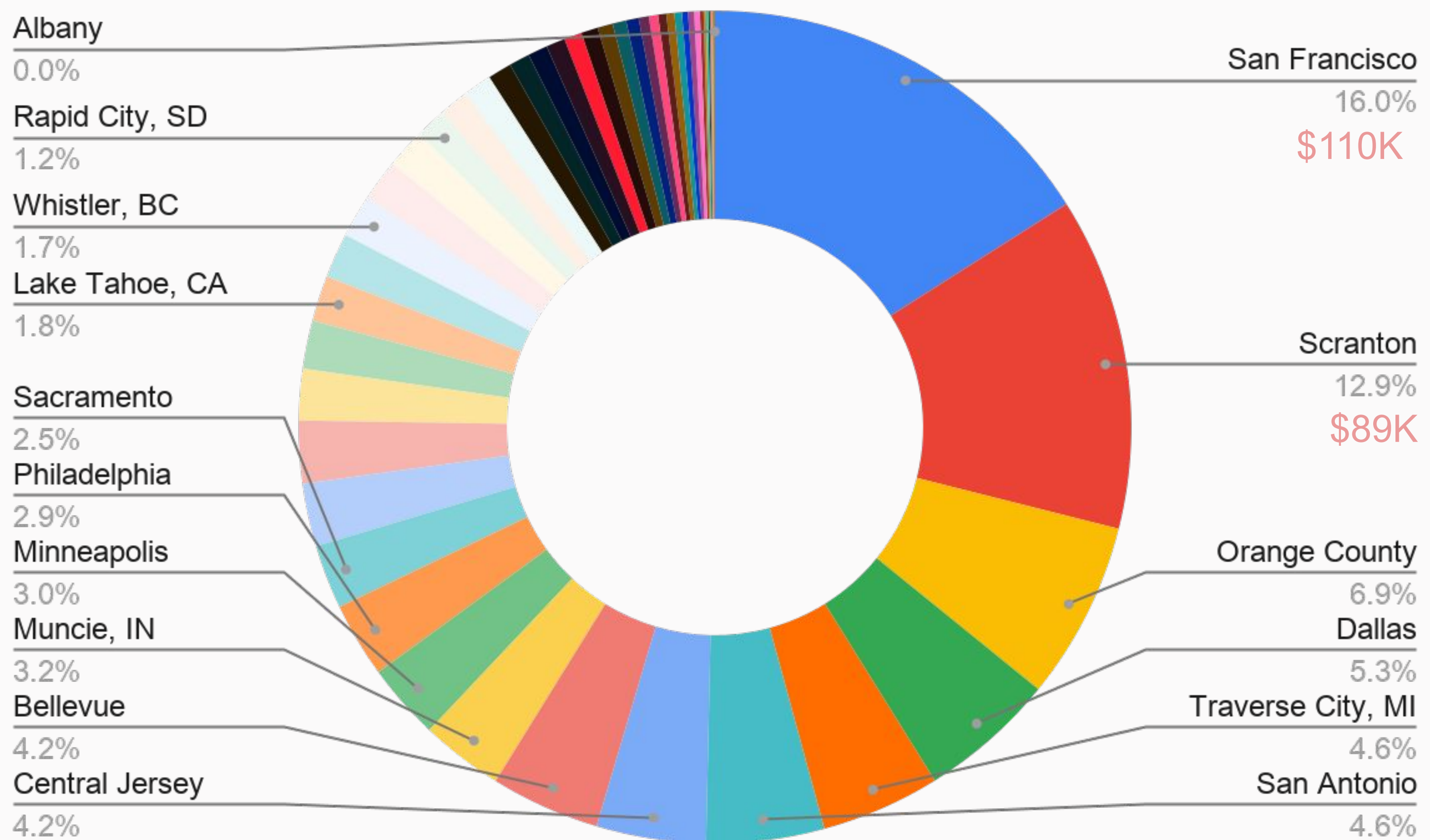
- Tips ranged from **\$0 to \$47** for a single order.
- **Zero tips** in Perth, and Auckland - possibly due to cultural differences with tipping.
- 6 regions had **zero delivery drivers** to fulfil the orders placed: Memphis, Melbourne, Laurinburg, NC, Las Vegas, Honolulu, Greenville.
- Whistler, BC and Scranton were in danger of **driver fatigue**, with on average **over 5** orders placed per delivery driver.
- High income areas like Brooklyn and LA tipped on average **less than \$2** per driver, despite high order values and/or volumes.
- Areas across California, Canada, and the Midwest saw the highest average tip per driver (**> \$10**) - a sign that these markets are doing well and can be targets for potential **business expansion**.

Next Steps

1. Increase driver sign-ons in regions with low driver availability by **prompting tips** via UI changes.
2. Ensure **compensation is competitive**, to keep up with market rates and other competitors.
3. Improve **driver fatigue** by accepting high-value orders only when driver availability is low, using algorithmic tweaks.

3. Regional Nuance

Net Order Value by Delivery Region



The net revenue from the top 10 regions made up 64% of the net order value* - indicating that business volume is concentrated in certain areas and not distributed equally. Based on this, we can segment the market into four groups:

High Impact

> \$80K

- Highest order volume & value
- Ex: San Francisco, Scranton

Mid Market

\$10K - \$50K

- Healthy, room for growth
- Ex: Dallas, OC, Bellevue, Philadelphia

Underpenetrated

- Large population, low order volume & value
- Ex: Boston, Chicago

Churned / Inactive

\$0

- No business, early-stage / churned
- Ex: Memphis, Las Vegas, Honolulu

Next Steps

We can adopt a **multi-pronged** approach depending on market size/stage:

- 1. **High impact markets:** Expand on success in high penetration markets like SF & Scranton by increasing media budgets focusing on consumer loyalty and long-term brand affinity
- 2. **Mid-Market:** Replicate success from SF/Scranton into other mid-market regions by identifying target audiences and customizing discounts based on their needs/interests.
- 3. **Underpenetrated:** High density, large worker economies see lower business than expected, likely due to higher competition. Improve messaging and increase media spend focusing on awareness over conversions. First order discounts, and membership incentives may be a good place to start.
- 4. **Unactivated:** Activate/Re-activate in zero revenue markets by focusing on improvements in driver availability, marketing strategy, and new customer discounts. Providing a risk-free, low barrier to entry is key.

4. Key Moments & Seasonality

Weekends saw spikes in order volume, opening up opportunities for discounts and promotions during weekends to acquire new customers, increase order volume, and inspire long-term loyalty.

